

THE A-TEAM

THE PEOPLE HELMING JIO FINANCIAL SERVICES



PHOTO BY HARDIK CHHABRA

K.V. KAMATH, CHAIRMAN

Known for building the ICICI Group, Kamath is also credited with creating the BRICS-sponsored New Development Bank. He is currently the Chairman of National Bank for Financing Infrastructure and Development (NaBFID), a new development finance institution for supporting infrastructure financing

The Uphill Battle

Corporates have historically faced challenges in the BFSI sector, often unable to innovate and scale up. "Past efforts at ecosystem monetisation have also fallen short," believes Tej of Marcellus. The lone exception is Bajaj Finance, which has not only made consumer

durables financing a success but also given banks and NBFCs a run for their money. Industry experts highlight that the leaders in commercial-vehicle financing are not manufacturers such as Ashok Leyland or the Tata group, which have finance units. The leaders are Cholamandalam and Sundaram

Finance. A captive business doesn't necessarily mean success. It will not be a cakewalk for JFS, which will now have to deal with multiple regulators in lending, payments, mutual funds, and insurance. New NBFCs from Piramal, Poonawalla, and Godrej are also spreading their wings. In addition, JFS will come under RBI's top tier NBFCs (numbering 15) with significantly higher supervision. JFS is entering at a time when RBI is encouraging large-scale NBFCs to transition into full-fledged banks. The regulations governing NBFCs are almost like those governing banks regarding NPA recognition or liquidity requirements. That was one of the reasons mortgage giant HDFC Ltd merged with HDFC Bank.

Some experts suggest that there could be a change in RBI's policy towards large conglomerates. Three years ago, an internal RBI group recommended allowing industrial houses into the banking sector. They also suggested that large NBFCs with assets over ₹50,000 crore could become banks. And even if RBI allows industrial houses, banking is a diversified business and highly competitive with segments like corporate loans, MSME loans, agri-business loans, and retail loans. "There can't be a monopolistic or oligopolistic sort of market in financial services. Jio's kind of disruption (telecom, retail) is not possible in the BFSI space," the experts say.

When an analyst asked Bajaj Finance's Managing Director, Rajeev Jain, about the competition, he said, "What I can control is working towards achieving our goal of reaching 100 million consumers, which aligns with our ambition. Our aim is to capture a significant portion of these 100 million consumers' payments and financial services needs, with a strong